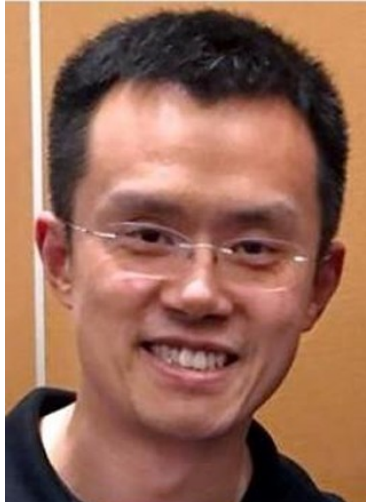


OPEN-SOURCE INTELLIGENCE REPORT

TARGET PHOTO : -



Section A — Identity & Company Basics

1. Identify the individual in the image.

- **Full name** - Changpeng Zhao
- **Nationality** - Canadian and United Arab Emirates
- **Current or former role in the company** - Former role : Founder and former CEO of Binance.

2. Identify the company connected to this person.

- **Company name** : Binance

→ **Main business activity** : Cryptocurrency exchange and blockchain / cryptocurrency services, including buying, selling, and trading digital assets .**Source** : [Wiki-Binance](#) , [Binance Website](#) .

→ **Year founded** – 2017

Binance Holdings Ltd., branded **Binance**, is the largest [cryptocurrency exchange](#) in terms of daily trading [volume](#) of [cryptocurrencies](#). Binance was founded in 2017 by [Changpeng Zhao](#). It was initially based in [China](#), then moved to Japan, subsequently left Japan for [Malta](#), and currently has no official company headquarters.

3. Find where the company is officially registered.

→ **Country/jurisdiction** : Binance is a limited liability company registered in the Cayman Islands [Binance Holdings Ltd.]

→ **Any claimed headquarters location** : Binance historically operated without a fixed global headquarters.

Section B — Company Structure & Operations

4. List at least three countries where the company operates or has offices/subsidiaries.

→ Three countries where the company operates :

1. **United Arab Emirates (UAE)** - Binance has regulated entities and significant operations in Abu Dhabi.
2. **France** — Binance has had a registered local entity and operations.
3. **Poland** — Binance has had a local entity/operations.

5. Identify the founder(s) or major owners of the company.

→ Founders and Owners :

- Changpeng Zhao — Founder and former CEO of Binance.
- Richard Teng — Current CEO of Binance.
- Yi He — Co-founder of Binance and, co-CEO alongside Richard Teng

→ Evidence :

1. [Official website about details](#) ,
2. [New CO - CEO](#)
3. [Binance blog](#)
4. [Reuters-news](#)
5. [CNBC-NEWS](#)

6. Has the company changed its structure, headquarters, or ownership in recent years?

→ Binance has undergone major structural and leadership changes since 2023.

1. Corporate Governance & Leadership:

→ In late 2023, founder Changpeng Zhao stepped down as CEO following a \$4.3 billion federal settlement with the U.S. Department of Justice. Former Singapore and Abu Dhabi regulator Richard Teng took over as CEO, and co-founder Yi He later assumed a Co-CEO role. [Source](#)

2 . Ownership Status:

→ No major change. Despite stepping down from operational leadership and being barred from executive management roles under the U.S. plea agreement, Changpeng Zhao retains his estimated 90% majority equity stake in Binance Holdings Limited. [Sources](#)

Section C — Legal & Regulatory Investigation

7. Has the company ever been investigated, fined, or warned by any government regulator ?

→ Binance has faced major regulatory and law-enforcement actions :

Authority	Year	Reason
UK Financial Conduct Authority (FCA)	2021	Imposed requirements on Binance Markets Limited, preventing it from conducting regulated activities in the UK without FCA consent
U.S. Commodity Futures Trading Commission (CFTC)	2023	Charged Binance and CZ with operating an illegal digital-asset derivatives exchange and violating

		the Commodity Exchange Act. The later settlement required Binance to pay \$2.7 billion and CZ \$150 million.
U.S. Department of Justice (DOJ)	2023	Binance pleaded guilty to violations involving anti-money laundering, unlicensed money transmission and U.S. sanctions laws. Binance agreed to penalties of about \$4.3 billion.
FinCEN	2023	Found violations of the Bank Secrecy Act, including failures involving AML/KYC and suspicious-activity reporting. FinCEN imposed a \$3.4 billion civil penalty and a five-year monitorship.
OFAC (U.S. Treasury)	2023	Found apparent violations of multiple U.S. sanctions programs. Binance agreed to a \$968.6 million settlement and a five-year compliance monitor.
Financial Services Agency (FSA) (Japan)	2018, 2021	Issued formal warning notices operating in Japan without registration.

8. Have any executives faced legal allegations, lawsuits, or criminal investigations?

→ Changpeng Zhao (CZ), Binance's founder and former CEO, faced a U.S. criminal case.

→ **2023:** Zhao pleaded guilty to violating the Bank Secrecy Act by causing Binance to fail to maintain an effective AML program. He resigned as Binance CEO. **Source :** [DOJ](#)

→ **2024:** He was sentenced to four months in prison.

→ **Samuel Lim** — Former Chief Compliance Officer (CCO): Sued by the CFTC for aiding and abetting Binance's violations, including actively assisting high-value U.S. customers in evading platform geo-blocking and compliance controls.

Samuel Lim, has also been ordered to pay a \$1.5m penalty for aiding and abetting Binance's violations. **Source :** [CFTC](#)

A separate order, also issued by Judge Manish S. Shah, requires Binance's former Chief Compliance Officer Samuel Lim to pay a \$1.5 million civil monetary penalty for aiding and abetting Binance's violations and engaging in activities outside of the U. S. to willfully evade or attempt to evade U.S. law.

9. Check whether the company appears in any sanctions, watchlists, or compliance-related reports.

→ It appears in several official U.S. government sanctions and compliance enforcement records. The U.S. Treasury's OFAC database records a \$968.6 million settlement with Binance for apparent violations of multiple sanctions programs. FinCEN's enforcement database also contains a Binance case involving AML and Bank Secrecy Act compliance failures. The DOJ separately records Binance's 2023 guilty plea and approximately \$4.3 billion resolution.

Source : [Department of the Treasury](#) , [News](#) , [Blong](#)

Section D — Financial & Risk Analysis

10. Identify one country or region where the company faced regulatory or compliance risks.

→ In 2023, U.S. authorities found major compliance problems involving Binance, including failures related to anti-money-laundering (AML), customer identification, suspicious-transaction reporting, and U.S. sanctions requirements. FinCEN imposed a \$3.4 billion penalty, one of the largest penalties in its history

Source : [Binance official](#)

11. Were there any allegations related to

- Money laundering**
- Weak compliance**
- Terror financing controls**
- Fraud prevention failures**

→ Money laundering: Binance was found to have weak AML controls, allowing some suspicious and illicit transactions to pass through its platform.

Weak compliance: Binance failed to properly follow some KYC, customer-monitoring, and suspicious-transaction reporting requirements.

Terror financing controls: U.S. authorities found that Binance processed transactions linked to terrorist organizations without properly reporting them as required.

Fraud prevention failures: Binance's weak monitoring and reporting systems made it difficult to detect and prevent some suspicious or fraudulent activities.

12. Find one major controversy involving the company.

→ Controversy: Binance's 2023 U.S. enforcement case :

→ In November 2023, Binance and its founder Changpeng Zhao (CZ) reached major settlement with U.S. authorities. Binance admitted violations involving U.S. anti-money-laundering and sanctions laws. CZ pleaded guilty to violating the Bank Secrecy Act and stepped down as CEO. [Source](#).

→ **Why it became controversial:** : Regulators found serious weaknesses in Binance's system, including inadequate KYC controls and failure to report large numbers of suspicious transactions. Some of the transactions involved ransomware, sanctioned entities and terrorist-related activity.

→ **Government/public response:** U.S. authorities imposed very large penalties and required Binance to operate under enhanced compliance monitoring. CZ was separately fined later served a prison sentence. The case became one of the most significant regulatory actions against a exchange. **Source :** [DOJ](#)

Section E — Analytical Assessment

13. In your opinion, why do some multinational companies avoid having a fixed headquarters?

→ Some multinational companies avoid having a fixed headquarters because they operate across many countries and want to remain flexible. A company with offices and employees in different countries can choose locations based on business opportunities, regulations, taxes, talent, and access to customers.

Another reason is regulatory risk. Different countries have different laws relating to taxation, data protection, financial services, employment, and corporate reporting. Having a more distributed structure can help a company

manage these requirements across different jurisdictions instead of depending heavily on one country.

For technology and cryptocurrency companies, a decentralized structure can also match the nature of their business. Employees and customers may be located around the world, so having one central headquarters may not be necessary.

However, avoiding a fixed headquarters can also create challenges. Governments and regulators may find it more difficult to determine which jurisdiction has primary responsibility for the company. It can also create uncertainty for customers, investors, and business partners.

Overall, multinational companies may avoid a fixed headquarters to gain flexibility, reduce dependence on one jurisdiction, and operate more efficiently across International markets, although this approach can increase regulatory and compliance challenges.

14. What lessons can investigators learn from this case regarding Corporate transparency , Financial regulation , Digital investigations

→ This case gives investigators several important lessons about how multinational and cryptocurrency companies should be examined. First, **corporate transparency** is important. Investigators should identify the company's owners, founders, subsidiaries, offices, and business structure instead of relying only on information provided by the company.

Second, the case shows the importance of **financial regulation**. Companies that handle large amounts of money must follow rules related to customer identification, anti-money laundering, sanctions, and suspicious transactions. Investigators should check whether a company has followed these rules and look for previous warnings, fines, or investigations.

Finally, **digital investigations** are very important for cryptocurrency companies. Investigators may need to examine blockchain transactions,

digital wallets, emails, company records, websites, and other online information. They should preserve evidence properly and verify information using reliable sources.

Overall, the case shows that investigators need to combine **corporate research financial records, and digital evidence** to understand the activities of a multinational company.